



Portfolio Management Competition

Finance Club, IIT Bombay

Problem Statement, Rubrics and Resources

Your task is to construct a single, well-reasoned investment portfolio for a client family, tailored to their financial position, goals, and constraints over a 10-year horizon (2026–2036).

There is no single correct portfolio. What matters is the quality of your reasoning, how well you justify each decision against this specific family's needs, and how thoughtfully you respond to the events that unfold over the horizon. Your portfolio must not merely list well-known names but also back each choice reasonably.

Submission format: A single PDF - structured either as a report or a presentation, your choice. You may attach an Excel model to support your calculations and projections, though this is optional. A one-page Assumptions Sheet is mandatory (details at the end).

The Client

The Singhanian Family

Vikram Singhanian, 58, has spent three decades building his family's textile business in Rajasthan. This year he is stepping back from active management and handing operational control to his daughter, Aarya, 29, who has recently returned from her MBA and is taking over the business.

As part of this transition, the family has sold a partial stake in the business and taken ₹1.5 crore off the table - capital they now wish to deploy in the financial markets for the first time. Until now, the family's wealth has been built almost entirely through the business and physical assets; neither Vikram nor Aarya has meaningful experience investing in listed securities.

Vikram built his wealth slowly, through several volatile commodity cycles and two recessions. He has seen enough downturns to believe that capital lost is far harder to rebuild than capital never risked. With his active business income winding down, he is conscious that this money must support him comfortably for the rest of his life and he would rather it work steadily than spectacularly.

Aarya sees things differently. She returned from her MBA convinced that India's coming decade will reward those willing to back the right businesses early and hold them with conviction. She has no dependents, no EMIs and the business income covers her lifestyle comfortably. She views her share of this capital not as savings to protect, but as a long-term bet on her own judgment.

The family has decided to manage this ₹1.5 crore as a single, consolidated portfolio - one that must serve both Vikram's need for security and Aarya's appetite for growth. Reconciling these two within one pool is the heart of your mandate.

You are not asked to split the money into two portfolios; you are asked to build one portfolio whose internal structure honours both sets of needs.

The Investment Universe

You may invest only in the following, all listed and traded in Indian markets:

- **Equities** listed on the NSE/BSE, within the **Nifty Total Market Index** - the broad ~750-stock universe spanning large, mid, small, and micro-caps.
- **Government securities (G-Secs)** and **corporate bonds**
- **Gold**, via Gold ETFs or Sovereign Gold Bonds (SGBs)
- **REITs** and **InvITs**

You must select individual securities yourself.

The following are **not permitted**: actively managed mutual funds, broad equity index funds/ETFs, fixed deposits, international instruments, unlisted securities, and derivatives.

Goals

The portfolio must be built to serve **all four** of the following goals. All amounts are stated in 2026 terms; you may ignore inflation when sizing the goals themselves.

- **Liquidity buffer.** With this capital entering markets for the first time, the family wants a safety net they can fall back on without disturbing the rest of the portfolio. By **2028**, **₹20 lakh** should be readily accessible in safe, liquid instruments to cover any near-term contingency.
- **Property purchase.** The family plans to buy a property in **2031**, requiring a cash outflow of **₹50 lakh** that year. This must be anticipated and funded without disrupting the rest of the portfolio.
- **Vikram's retirement corpus.** As his business income winds down, Vikram wants this portfolio to support him for life. By **2036**, at least **₹1.5 crore** should sit in stable, income-generating instruments - bonds, G-Secs, REITs/InvITs - prioritising capital preservation and steady income.
- **Aarya's growth pool.** The remaining capital is Aarya's long-term bet on her own judgment. By **2036**, this pool should have grown to at least **₹2 crore** through a growth-oriented strategy, reflecting her long horizon and conviction in India's coming decade.

Constraints and Assumptions

- The ₹1.5 crore is the entire investable corpus. No additional contributions are made over the horizon.
- The family's living expenses, the ongoing business, and any EMIs are serviced entirely from other business income and rental properties. The ₹1.5 crore is pure surplus capital, available exclusively for the goals above.
- Assume no unforeseen withdrawals (medical, family obligations, etc.) beyond the stated goals.
- You may ignore inflation when sizing the goals. (You may discuss real vs nominal returns in your reasoning if you wish - see the bonus section.)
- Ignore transaction costs. You may discuss tax treatment if you wish (see bonus section), but it is not required.

Rebalancing and cash-flow mechanics:

- Present your initial portfolio allocation as of 2026. This initial allocation must already carve out the liquidity buffer so that ₹20 lakh is safely available by 2028.
- You may rebalance at the two event points (2029 and 2033). Assume rebalancing occurs only at these points unless you explicitly justify otherwise.

Events over the Horizon

Two significant developments occur during the horizon. At each point show how - and whether - you would adjust the portfolio, with clear reasoning.

Event 1 - 2029: RBI Begins an Aggressive Rate-Cut Cycle

A sharp slowdown in private capital expenditure and weakening growth prompts the Reserve Bank of India to begin an aggressive easing cycle. Over roughly 18 months, the RBI cuts the repo rate from 5.25% to 3.5% - its lowest in over a decade. The move reprices the bond market, changes the relative attractiveness of income-generating instruments, and affects rate-sensitive sectors unevenly.

Event 2 - 2033: India Emerges as a Major Global Defence Exporter

India crosses \$5 billion in annual defence exports for the first time and signs strategic manufacturing partnerships with several allied nations. The government announces a 10-year production-linked incentive programme for defence and aerospace manufacturing, alongside expanded domestic-sourcing mandates. The development re-rates a specific set of listed manufacturers while reshaping expectations across the broader industrials and capital-goods landscape.

What We Expect in Your Submission

You are free to determine your own research methodology and focus areas. The following structure is suggested:

Investment Philosophy - Your overall approach, and crucially how you balance preservation and growth within one pool given the family's two profiles. Do you follow any guiding principles (e.g., ESG) or avoid certain sectors? Explain why.

Portfolio Construction - Your asset allocation and the specific securities chosen. The portfolio should separate naturally into baskets serving different goals and risk needs - make this logic explicit. For each holding or group, state the objective it serves and its intended horizon.

Selection Methodology - For each security, explain how you filtered and chose it, and why it beats its closest alternatives. Support each choice with at least two specific, current data points (e.g., order book, margin trend, valuation versus peers, growth rate). Vague or generic justification will not earn marks.

Response to Events - At each event point, show what you change, what you keep, and why, including second-order effects.

Goal Reconciliation - A clear demonstration, with projections, of how the portfolio serves all four goals, and an honest account of any shortfall.

Baseline Data & Return Assumptions

To keep submissions comparable and to prevent unrealistic projections, use the following anchors. You may adjust an individual security's expected return only if you justify it with specific, conservative reasoning; aggressive or unjustified assumptions will be penalised.

- Risk-free rate - 6% (nominal)
- Market return (10Y NIFTY 50) - 10.70%
- Large-cap equity ($\approx$ NIFTY 100) - $\sim$ 11%
- Mid / small-cap equity - $\sim$ 13% (higher volatility)
- G-Secs - $\sim$ 6.5%
- AAA corporate bonds - $\sim$ 7.5%
- Gold (ETF / SGB) - $\sim$ 8%
- REITs / InvITs - $\sim$ 8–9%

Optional / Bonus

Not required, but strong execution here **distinguishes top submissions**:

- **Portfolio metrics** for your equity segment, computed after construction and weighted:
 - a. **Beta** = Covariance / Variance
 - b. **Sharpe Ratio** = $(R_p - R_f) / \sigma_p$
 - c. **Treynor Ratio** = $(R_p - R_f) / \beta_p$
 - d. **Jensen's Alpha** = $R_p - [R_f + (R_m - R_f)\beta]$
- An **Excel model** supporting your allocation, projections, and goal reconciliation.
- Explicit treatment of **taxation** (LTCG / STCG, debt taxation) and its effect on net returns.

The Assumptions Sheet (Mandatory)

Include a single page, up front, listing every assumption your analysis rests on. At minimum:

- Expected return assumed for each asset class and any security-level deviations, with justification
- Your rebalancing approach, and how you fund the 2031 withdrawal
- How you have interpreted each of the four goals
- Any other judgement call material to your conclusions

This is standard practice for any real investment mandate, and it makes your reasoning transparent and fair to evaluate.

Resources

Grouped by purpose, so you know why to open each.

To understand portfolio construction and asset allocation (free, Indian context):

- [Zerodha Varsity](#) - *Module 11*: Personal Finance (asset allocation, bonds, ETFs, goal-based investing) and *Module 9*: Risk Management (variance, covariance, portfolio risk, optimisation).

To compute the bonus metrics (Beta, Sharpe, Treynor, Jensen's Alpha):

- Zerodha Varsity Module 9 for the underlying risk math.
- [Investopedia](#) has clean standalone explainers for each ratio.

To find and screen securities:

- [NSE](#) and [BSE](#) for the Nifty Total Market constituents and official data.

- [Screener.in](https://www.screener.in) for fundamental screening (ratios, ten-year financials).
- For 5-year monthly price data (beta/variance): NSE historical data or [Investing.com](https://www.investing.com).

For the non-equity instruments (bonds, REITs/InvITs):

- [SEBI Investor Education](https://www.sebi.gov.in/investor-education) and [NSE Academy](https://www.nse.academy) have free, neutral, India-specific primers.

These playlists offer a quick overview of key terms and processes, though not in-depth.

- [Playlist on Financial Modelling](#)
- [Video on Sharpe, Jensen Alpha, Treynor](#)
- [Article on measuring a portfolio's performance](#)

After the competition, explore the following playlist and channel for deeper understanding:

- [Playlist on pricing and valuation](#)

Closing Notes

There is no page or slide limit.

Visual polish matters less than clear, structured, professional presentation.

For any doubts regarding the problem statement or guidelines, reach out to us.

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All the best!